Gold Loan Policy

1. Gold Loan Overview

A gold loan is a secured loan in which eligible gold jewellery or approved gold items are pledged as collateral. The approved loan amount is based on the assessed value of the eligible gold and the applicable loan-to-value limit.

2. Eligibility

Applicants must generally be adults with valid identity and address documents and must provide eligible gold for valuation. Final eligibility is subject to the lender's verification and applicable internal policy.

3. Required Documents

The applicant may be required to provide identity proof, address proof, photographs, bank details where applicable, and any additional documents requested by the lender for verification.

4. Gold Valuation

The pledged gold is evaluated for purity, gross weight, net eligible weight, condition, and other applicable valuation factors. Stones, non-gold materials, and other deductions may reduce the eligible assessed value. The final valuation is determined during the lender's appraisal process.

5. Loan Amount

The eligible loan amount is calculated using the assessed value of the eligible gold and the applicable loan-to-value limit. The approved amount may be lower than the amount requested by the applicant.

6. Interest Rate

Interest is charged according to the selected gold-loan scheme and applicable lender terms. The applicable interest rate, calculation method, payment schedule, and other conditions are communicated to the customer before the loan is accepted.

7. Processing and Other Charges

Applicable charges may include processing fees, valuation charges, documentation charges, late-payment charges, and other fees specified by the lender. Customers should review the applicable fee schedule and loan agreement before accepting the loan.

8. Repayment Policy

Repayment depends on the selected loan product. Available structures may include regular instalments, periodic interest payments with principal repayment, or other approved repayment arrangements. The exact repayment schedule is specified in the loan agreement.

9. Prepayment and Closure

Customers may close or prepay the loan according to the applicable product terms. Any applicable prepayment or closure charges will be governed by the lender's current policy and the executed loan agreement.

10. Late Payment

Failure to make required payments by the due date may result in overdue status and applicable additional charges. Continued delay may lead to recovery action in accordance with the loan agreement and applicable rules.

11. Pledged Gold Security

The pledged gold remains with the lender as security until the customer's obligations under the loan are satisfied. The lender follows its applicable procedures for custody, verification, and release of pledged gold.

12. Release of Gold

After all required dues are paid and the loan is closed, the pledged gold is released after completion of the lender's verification and release process. The customer may be required to provide the necessary documents and acknowledgement.

13. Default and Recovery

If the borrower continues to remain in default, the lender may initiate recovery procedures according to the loan agreement and applicable regulations. These procedures may include notices and other permitted recovery actions.

14. Gold Auction Policy

Where the account reaches the applicable auction stage after required default and notice procedures, the lender may auction the pledged gold in accordance with the loan agreement and applicable laws and regulations.

15. Customer Responsibilities

Customers are responsible for providing accurate information, submitting required documents, understanding the loan terms, making payments on time, and maintaining awareness of applicable charges and due dates.

16. Policy and Regulatory Compliance

Gold-loan products, interest rates, loan-to-value limits, charges, notices, recovery procedures, and auction processes are subject to the lender's current policies and applicable laws and regulations. The latest approved terms should always be used when processing a loan.